State Bank of Hyderabad (SBH), State Bank of Mysore (SBM), State Bank of Patiala (SBP) and State Bank of Travancore (SBT). The other two Associate Banks namely State Bank of Indore and State Bank of Saurashtra had already been merged with State Bank of India. After the merger, the total customer base of SBI increased to 37 crore with a branch network of around 24,000 and around 60,000 ATMs across the country.

6.12 Money Market

Money market is the mechanism through which short term funds are loaned and borrowed. It designates financial instittutions which handle the purchase, sale and transfer of short term credit instruments. Commercial banks, acceptance houses, Non Banking Financial Institutions and the Central Bank are the institutions catering to the requirements of short term funds in the money Market.

6.13 Capital Market

Capital Market is a part of financial system which is concerned with raising capital by dealing in shares, bonds and other long term investments.

The market where investment instruments like bonds, equities and mortgages are traded is known as the capital market

6.14 Demonetisation



Demonitisation is the act of stripping a currency unit of its status as legal tender. It occurs whenever there is a change of national currency. The current form or forms of money is pulled from circulation, often to be replaced with new coins or notes. On 8 November 2016, the Indian Prime Minister Mr. Narendra Modi announced the demonetization of all ₹500 and ₹1000 bank notes of the Mahatma Gandhi Series. However, more than 99% of those currencies came back to the RBI.

6.14.1 Objectives of Demonetisation

1. Removing Black Money from the country.
2. Stopping of Corruption.
3. Stopping Terror Funds.
4. Curbing Fake Notes

Summary

It is well-recognized that the financial sector plays a critical role in the development process of a country. Financial institutions, instruments and markets that constitute the financial sector act as a conduit for the transfer of resources

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